

Gala Precision Engineering Ltd

Concall Tracker | Ticker: GALAPREC (NSE/BSE 544244) | Report date: 04 July 2026

Disc & coil springs | High-tensile fasteners | Wind / railways / infra / industrial | Recent IPO (Sep 2024)

1. Snapshot

What the business does (in one line): Gala Precision makes highly-engineered metal springs (disc springs and coil springs) and heavy-duty bolts & fasteners that hold together big machines — wind turbines, railway coaches, off-highway and construction equipment, and industrial machinery. It sells custom parts (750+ product codes) to roughly 175 large manufacturers across 25 countries, and makes money by charging a premium for precision, quality and reliability that few Indian rivals can match.

MARKET VALUE ~₹1,450 cr What the whole company is worth on the stock market (share ~₹1,110, 1 Jul 2026). A small-cap.	REVENUE FY26 ₹314 cr Total sales for the year to Mar-2026 — up ~32% on FY25's ₹238 cr. Fastest growth since listing.	NET PROFIT FY26 ₹35 cr Money left after all costs & tax — up ~30% on FY25's ₹27 cr.
OPERATING MARGIN FY26 ~17% ₹17 of operating profit per ₹100 of sales. Slightly below management's 17–19% target band (a one-off currency loss dragged it).	RETURN ON CAPITAL (ROCE) FY26 ~16% Profit earned on all money invested in the business — decent, though down from ~23% pre-IPO as fresh cash sits idle awaiting deployment.	DEBT Low Borrowings ~₹38 cr against reserves of ~₹280 cr. Post-IPO the balance sheet is comfortably funded; net debt is minimal.

Priced at roughly 40× earnings (share price ÷ per-share profit) — a premium rating that already prices in years of fast growth, so delivery matters. Promoters own ~55% (steady since listing). Dividend: none yet — profits are ploughed back into capacity.

2. Concall coverage

This is a **recent IPO (listed September 2024)**, so the earnings-call history is short. We read **all six transcripts available on Screener** — the entire post-listing record — from the first-ever call (Feb 2025) to the latest (May 2026). This spans about **six quarters (~1.5 years)**. That is enough to judge whether management does what it says quarter-to-quarter, but too short to test them across a full business cycle or a downturn. Read this consistency verdict as a **strong early read, not a long-track-record one**.

Call	Date	Period covered	Transcript read?
1 (first-ever)	13 Feb 2025	Q3 & 9M FY25 (Apr–Dec 2024)	Yes
2	29 May 2025	Q4 & full-year FY25	Yes
3	06 Aug 2025	Q1 FY26	Yes
4	13 Nov 2025	Q2 & H1 FY26	Yes
5	06 Feb 2026	Q3 & 9M FY26	Yes
6 (latest)	15 May 2026	Q4 & full-year FY26	Yes

Hard financials below are taken from the company's reported quarterly/annual figures (Screener snapshot); guidance and commentary are from the transcripts. Latest quarter cross-checked with public sources (Business Standard, Screener) for the current share price and market value.

★ Latest concall highlights — Q4 & FY26 (call held 15 May 2026)

- **Best year since listing.** Full-year FY26 sales ₹314 cr, up ~32% — comfortably above the 20–25% they guided. Q4 sales ~₹95 cr (+26% on the same quarter last year); Q4 net profit ~₹12 cr (+22%).
- **Fasteners crossed a milestone.** The fastener line (called SFS) topped ₹100 cr for the year (~₹108 cr, up ~64%) — now the fastest-growing part of the company and about a third of sales.
- **New growth door opened: offshore wind.** They entered the offshore wind-turbine market, supplying critical fasteners to global turbine makers in Europe, and made a first commercial supply of high-tensile bolts to a global wind OEM in India from the new Chennai plant. Management expects offshore wind to be ~10% of fastener sales within 2–3 years.
- **Margin dip was a one-off.** FY26 operating margin 16.5% (a ~5-year low) — but almost the entire miss (~₹3.2 cr) was a currency (forex) loss, not weaker pricing or costs. They guide margin back to 18–19% by end-FY27.
- **Next capacity leg underway.** Chennai Phase-2 completing by Jun/Jul (lifting that plant's ceiling to ~₹120 cr of sales), plus a planned third plant — finalizing 2–3 land plots at Wada, with ~₹50 cr of new spending planned in FY27. Tone: confident, upbeat, no defensiveness.

Business mix & capacity (quick facts)

- **Domestic vs export:** ~60–65% India / ~35–40% exports (of exports: Europe ~20% and USA ~14% of total sales). Plain read: roughly two-thirds of sales are within India; the rest goes mainly to Europe and the US.
- **Product mix (FY26):** Disc springs (DSS) ~49% · Fasteners (SFS) ~34% · Coil springs (CSS) ~17%. Plain read: disc springs are the steady bread-and-butter; fasteners are the growth engine.
- **End-industry mix (approx.):** Renewable/wind ~38% · Industrial ~33% · Mobility (railways + auto) ~29%. Plain read: wind energy is the biggest single end-market; industrial is catching up; auto is shrinking as a share (not falling, just growing slower).
- **Capacity utilization:** Main Wada plant's disc-spring & fastener lines run at ~80% (near-full — the reason for expansion); the new Chennai plant ran at only ~35% in FY26 as it ramps up. Plain read: the old plant is nearly maxed out, so growth now depends on filling Chennai and building a third plant.

★ 3. Earning Trigger thesis

The core money-making story is simple and consistent: **Gala is a niche, quality-first maker of springs and fasteners that keeps opening bigger new markets (bolts, offshore wind, industrial) while adding factory capacity to serve them.** The proof is in the fastener (SFS) line, which grew ~64% in FY26 and crossed ₹100 cr, and in the new Chennai bolt plant that is filling up. Because the flagship Wada plant is already ~80% full, the near-term growth trigger is very concrete: **ramp Chennai to ~₹120 cr of sales, add a third plant, and convert wind-bolt and offshore-wind wins into revenue.** Management targets 20–25% annual sales growth — and has beaten it (FY26 +32%).

Trigger	What management said	Evidence so far	Time horizon	Strength
Chennai fastener plant ramp-up	New plant for high-tensile bolts/studs; total capacity ~₹120 cr of sales; ~₹80 cr expected in FY27.	Inaugurated Feb-25, commercial Jul-25; ran at ~35% in FY26 hitting ~₹5 cr/month; Phase-2 completing Jun/Jul-26.	FY26–FY28 to peak	Strong — built on time, filling steadily.
Fastener (SFS) segment surge	Fasteners the fastest-growing line; adding bolts & nuts opening a >US\$1 bn global market.	SFS +64% in FY26 to ~₹108 cr; now ~34% of sales (was smaller). Clear, delivered.	Now, ongoing	Strong — already visible in the numbers.
Wind bolts & offshore wind entry	Price deals with 4 wind-turbine OEMs for Chennai bolts; entered offshore-wind critical fasteners (Europe).	First commercial wind-bolt supply in Q4 FY26; offshore expected ~10% of fastener sales in 2–3 yrs.	2–3 years	Moderate — promising, early, not yet material.
Third-plant capacity expansion	Finalizing 2–3 land plots at Wada; ~₹50 cr FY27 spend; total sales potential ~₹450 cr+.	Land shortlisting in progress; not yet bought/built.	~15 months out	Moderate — needed for growth, but still on the drawing board.

4. Management Consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
Feb-25 (1st call)	Chennai plant to be commissioned by Q1 FY26; then ramp over 3–6 months.	Inaugurated Feb-25, commercial production began Jul-25, dispatches from Aug-25 — on schedule.	Delivered
Feb-25 onward	Sales growth of 15–20% a year (later raised to 20–25% for FY26).	FY25 +17%; FY26 +32% — met, then clearly beat the raised guidance.	Delivered (beat)
Every call	Operating margin to stay in the 17–19% band.	FY25 17.2% (in band); FY26 16.5% (just below) on a one-off forex loss; quarters dipped to ~15% during Chennai ramp. Repeatedly landed at/below the low end.	Partly
May-25	Fastener bolt product to start commercial sales Q1 FY26; SFS to keep leading growth.	Bolt sales started; SFS grew ~64% and crossed ₹100 cr in FY26.	Delivered
Aug-25 / Nov-25	Chennai to reach ~₹5 cr/month run-rate; ~₹30 cr Chennai revenue in FY26.	Reached ~₹5 cr/month; ran at ~35% utilization in FY26 — in line.	Delivered
Feb-26 / May-26	Third plant — new land at Wada, ~₹50 cr FY27 capex; Chennai Phase-2 by Jun/Jul-26.	Land shortlisted (2–3 plots), Phase-2 on track — progressing but not yet completed.	Too-early
Aug-25 / Feb-26		Gallock scaling and cross-selling; retractor springs still in pilot/ validation; steady progress.	Too-early

	New products — Gallock wedge-lock washers, seat-retractor springs, electrolyzer/tractor fasteners.	
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Narrative drift: Remarkably little. Across all six calls the story has stayed the same and simply widened in a sensible way — springs first, then a big push into fasteners/bolts, then wind bolts and offshore wind, funded by Chennai and a coming third plant. Guidance was raised (not cut) as they out-delivered, and management explained every wobble (margin dips, flat-looking quarterly profit) with specific, checkable one-off reasons (forex losses, a labour-code provision, a withdrawn export incentive) rather than vague excuses. Tone has been consistently confident but not boastful, and candid about pressure points (high inventory, US tariffs on the export book). The only genuine soft spot is **margin**: they keep guiding 17–19% and keep landing at or just below the low end.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live growth engine, and it is already showing up in the numbers, not just in slides. The fastener line grew ~64% and crossed ₹100 cr in FY26; total sales grew ~32%; the new Chennai plant is filling up on schedule; and fresh doors (wind bolts, offshore wind, industrial/electrolyzer) plus a planned third plant give a visible runway toward ~₹450 cr+ of capacity. With the main plant already ~80% full, the growth path is specific and fundable from low debt and IPO cash. The one thing to watch is whether faster growth comes at the cost of margin.

Management consistent? → YES (strong early read — short history)

Over the six calls since listing, management has largely done what it said: the Chennai plant was built and ramped on time, sales growth met and then beat the raised guidance (+32% in FY26), and the fastener push delivered. The story has stayed steady and widened logically, with no flip-flops, and every disappointment was explained with a specific, verifiable cause. The single caveat is operating margin, which has repeatedly landed at or just below the promised 17–19% band (FY26 16.5%) — enough to keep this a watch-item but not enough to dent an otherwise credible record. Remember the track record is only ~1.5 years long and has not been tested by a downturn.

Prepared from the six post-listing earnings-call transcripts (Feb 2025–May 2026) plus the company's reported financials. Not investment advice — a reading of what management promised versus what the business delivered.